Pair 8: Red Hat and Brown Shoe

On August 11, 1999, Red Hat, Inc., a developer of Linux software, sold stock to the public for the first time. Red Hat was red-hot; initially offered at $7, the shares opened for trading at $23 and closed at $26.031—a 272% gain.[11] In a single day, Red Hat's stock had gone up more than Brown Shoe's had in the previous 18 years. By December 9, Red Hat's shares hit $143.13—up 1,944% in four months.

Brown Shoe, meanwhile, had its laces tied together. Founded in 1878, the company wholesales Buster Brown shoes and runs nearly 1,300 footwear stores in the United States and Canada. Brown Shoe's stock, at $17.50 a share on August 11, stumbled down to $14.31 by December 9. For all of 1999, Brown Shoe's shares lost 17.6%.[12]

Besides a cool name and a hot stock, what did Red Hat's investors get? Over the nine months ending November 30, the company produced $13 million in revenues, on which it ran a net loss of $9 million.[13] Red Hat's business was barely bigger than a street-corner delicatessen—and a lot less lucrative. But traders, inflamed by the words "software" and "Internet," drove the total value of Red Hat's shares to $21.3 billion by December 9.

And Brown Shoe? Over the previous three quarters, the company had produced $1.2 billion in net sales and $32 million in earnings. Brown Shoe had nearly $5 a share in cash and real estate; kids were still buying Buster Brown shoes. Yet, that December 9, Brown Shoe's stock had a total value of $261 million—barely 1/80 the size of Red Hat even though Brown Shoe had 100 times Red Hat's revenues. At that price, Brown Shoe was valued at 7.6 times its annual earnings and less than one-quarter of its annual sales. Red Hat, on the other hand, had no profits at all, while its stock was selling at more than 1,000 times its annual sales.

Red Hat the company kept right on gushing red ink. Soon enough, the stock did too. Brown Shoe, however, trudged out more profits—and so did its shareholders:

FIGURE 18-4 Red Hat vs. Brown Shoe